

Performance Management

Appraisal Approaches & Rater Errors

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What is Performance Management?



A Continuous Process

Unlike a once-a-year appraisal, performance management is an ongoing cycle of identifying, measuring, and developing the performance of individuals and teams.



Strategic Alignment

The primary goal is to align each employee's daily work and personal development with the overall strategic goals of the organization.

Real-World Example: Instead of waiting until December to give feedback, a manager meets with an employee monthly to discuss progress toward their yearly targets and adjust goals as needed.

Why Appraisal Methods Matter



Objectivity

Standardized methods ensure employees are judged on facts and behaviors, not just the manager's "gut feeling" or personal opinion.



Fairness

Using a consistent approach across the organization ensures that every employee is evaluated using the same set of rules and standards.



Development

Clear methods help identify exactly where an employee excels and where they need specific training to grow in their career.



Legal Protection

Well-documented and systematic appraisal methods protect the company if a promotion or termination decision is ever challenged.

Alternation Ranking Method

Ranking employees from best to worst to create a clear leaderboard of performance.

The Process

You pick the best employee first, then the worst, then the second best, then the second worst, and so on until all are ranked.

Why Use It?

It forces managers to clearly distinguish between their top and bottom performers, avoiding the "everyone is average" trap.

***Example:** In a team of 10, a manager decides who is #1 and who is #10 first, making it easier to rank the remaining 8 employees.*

Ranking Order

1. Best	Employee A
10. Worst	Employee J
2. Next Best	Employee B
9. Next Worst	Employee I
3. Next Best	Employee C
8. Next Worst	Employee H

Continue until all employees are ranked.

Paired Comparison Method

A "tournament" style ranking where every employee is compared one-on-one with every other employee.

How it Works

For every pair (e.g., A vs. B), the manager decides who is better. The employee with the most "wins" across all pairs ranks highest.

Pros

Much more precise than simple ranking because it forces a direct choice for every possible combination of employees.

***Example:** Comparing Employee A with B, then A with C, then B with C to see who is the overall strongest performer in the group.*

Sample Comparison

Pair	Winner
A vs. B	A
A vs. C	A
B vs. C	B

Final Ranking:

- 1. Employee A (2 wins)
- 2. Employee B (1 win)
- 3. Employee C (0 wins)

Graphic Rating Scale Method

The most common method. It's like a report card where you get a score for different "subjects" or traits.

How it Works

Managers rate traits like "Quality of Work" or "Teamwork" on a scale (e.g., 1 to 5).

Pros & Cons

Pros: Simple to use; provides quantitative data.

Cons: Standards can be vague (what does "Good" mean?).

***Example:** Rating a customer service rep's "Communication Skills" as a 4 out of 5 based on their daily interactions.*

Sample Rating Scale

Quality of Work



Communication



Teamwork



Dependability



1 (Unsatisfactory) — 5 (Outstanding)

Forced Distribution Method

Often called "grading on a curve," this method requires managers to place employees into specific percentage buckets.

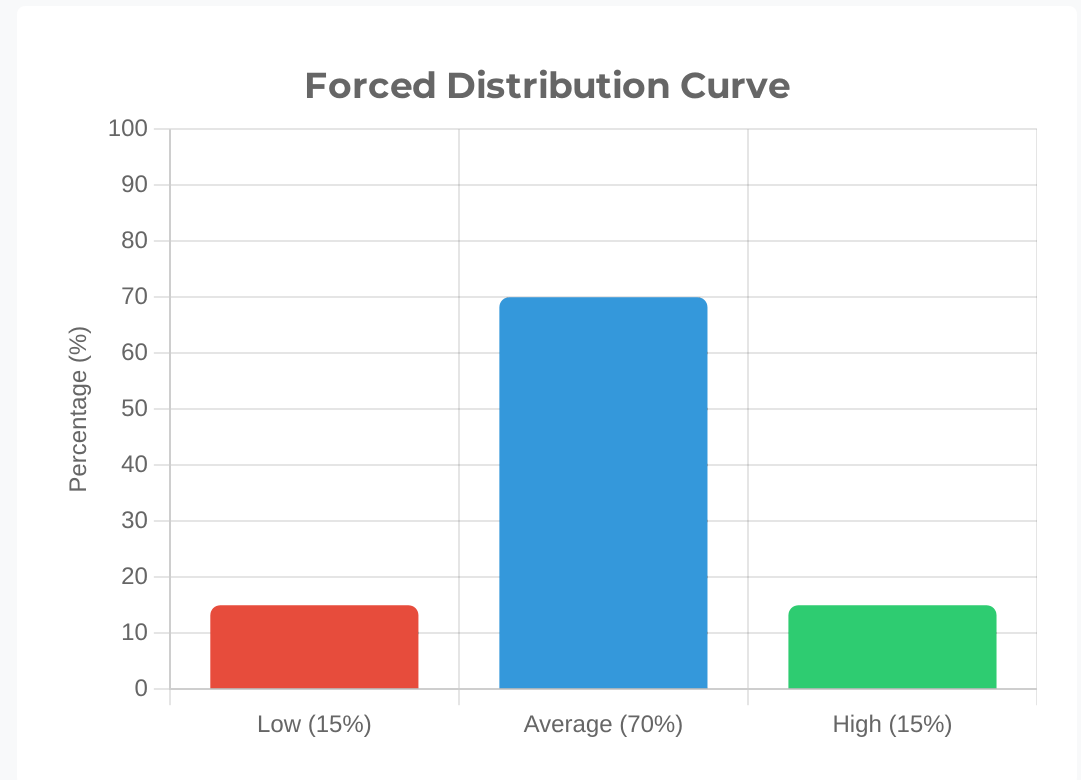
The Typical Split

- Top 15%: High Performers
- Middle 70%: Average Performers
- Bottom 15%: Low Performers

The Purpose

It prevents "rating inflation" where managers give everyone a high score to avoid conflict or difficult conversations.

***Example:** A company rule stating that in a team of 20, only 3 people can receive an "Outstanding" rating, regardless of how well the whole team did.*



Critical Incident Method

This method involves keeping a "diary" or log of an employee's best and worst moments throughout the year.

The Process

The manager writes down specific examples of very good or very poor performance as they happen, rather than relying on memory at the end of the year.

Pros & Cons

- **Pros:** Provides hard facts and specific examples during the appraisal meeting.
- **Cons:** Requires the manager to be very disciplined in writing things down all year long.

Example: Recording that on March 12th, the employee stayed late to help a client, and on June 4th, they missed a major project deadline.

Manager's Performance Log	
March 12	POSITIVE Employee stayed 2 hours late to help a frustrated client resolve a technical issue, saving the contract.
June 04	NEGATIVE Missed the weekly project deadline without prior notice, causing a delay in the team's workflow.
July 19	POSITIVE Identified a recurring error in the billing system and proposed a fix that reduced errors by 15%.

Rater Error: The Halo Effect



One Trait Blinds the Rest

The Halo Effect occurs when a manager's general positive impression of an employee (often based on one trait like "likability" or "punctuality") biases the rating of all other performance traits.

***Real-World Example:** An employee is always on time and very friendly, so the manager assumes they are also great at technical tasks and coding, even if their actual work is full of errors.*

Rater Error: Central Tendency

The "Playing it Safe" Trap

Central Tendency is the tendency to avoid giving very high or very low ratings and instead rating everyone "average" or in the middle of the scale.

***Real-World Example:** On a scale of 1 to 5, a manager gives every single team member a 3, even the superstars and the underperformers, to avoid conflict or the need to justify extreme scores.*

Behaviorally Anchored Rating Scales (BARS)

A rating scale that gives you clear "rules" or "examples" for what each score actually means.

How it Works

Instead of just "4/5," the scale describes the specific behavior required to earn that score (e.g., "4: Greets customers within 10 seconds").

Pros & Cons

- **Pros:** Very accurate and fair because it removes guesswork.
- **Cons:** Difficult and time-consuming to develop for every job role.

Example: A scale for "Punctuality" where a 5 means "Always arrives 5 minutes early" and a 1 means "Frequently late without notice."

Example: Customer Service

- | | |
|---|---|
| 5 | Greets customers within 5 seconds, offers help immediately, and resolves issues with a smile. |
| 4 | Greets customers within 10 seconds and offers help politely. |
| 3 | Greets customers eventually but waits for them to ask for help. |
| 2 | Ignores customers until they approach the counter. |
| 1 | Is rude to customers or avoids eye contact entirely. |

Management by Objectives (MBO)

Judging performance based on whether the employee hit the targets they helped set. It shifts the focus from "how you work" to "what you actually achieved."

01

Set Organizational
Goals

02

Set Departmental
Goals

03

Discuss & Set
Individual Goals

04

Define Expected
Results

05

Performance
Reviews

06

Provide Feedback

***Real-World Example:** A salesperson and their manager jointly agree on a goal to "increase sales by 10% in the next 6 months." Performance is then judged solely on hitting that target.*